Boardroom Debate — LEGAL ADVISORY

Question: Should we "incorporate in Florida only" or "incorporate in Delaware and register in Florida as foreign entity?"

FINAL VERDICT: YES — Delaware C-Corp + Florida Foreign Entity Registration. Unanimous (5–0). Two advisors moved from CONDITIONAL to YES.

Date: 2026-04-06 · **Board:** LEGAL-ADVISORY · **Participants:** Yokum Taku, Brian T. Lower, Tonia Klausner, Jason Gamel, Patrick McKenzie

Round 1 — Yokum Taku [YES — DE + FL]

This is genuinely not a close call, and I want to walk through exactly why — because the Florida-only option looks cheaper and simpler in April 2026, and is going to look like a self-inflicted wound in 2027 or 2028 when you sit down with an acquirer or an institutional investor.

Let me start with where you actually are. RAV's stated exit strategy is acquisition by Marriott Vacations Worldwide, Hilton Grand Vacations, Wyndham, Expedia Group, or Booking Holdings. Every single one of those acquirers has an in-house M&A team and outside counsel that has done dozens of acquisitions. When that team opens the data room and sees the entity structure, they expect to see one of three things: a Delaware C-Corp, a Delaware LLC that will be converted to a C-Corp before close, or — very rarely — a Cayman or BVI parent for international reasons that don't apply to you. They do not expect to see a Florida LLC, and when they see one, three things happen.

First, the deal team flags it. Not as a deal-killer, but as friction. The diligence checklist gets longer. Counsel asks for the Florida operating agreement, the Florida tax compliance history, the Florida franchise tax filings, the local registered agent records. None of this is fatal, but every item adds time and legal fees on both sides.

Second, the conversion conversation starts. Almost any acquirer will require RAV to convert to a Delaware entity prior to or at close. I have personally watched founders absorb $40,000–$80,000 in legal fees during the closing weeks of an acquisition for exactly this — a conversion that should have happened on day one for $400 in filing fees.

Third, and this is the part founders almost never see coming: the conversion can create timing pressure on the deal itself. I have seen deals slip closing dates by two to four weeks waiting for

Florida tax clearance. In a hot M&A process, two to four weeks is enough for an acquirer's strategic priorities to shift, for a competing bidder to drop out, or for the macro environment to move against you.

The Florida-only argument's strongest grounds: RAV's customers, properties, and operational center of gravity are in Florida. Florida has no state corporate income tax for LLCs taxed as partnerships. That argument is not crazy. It is just optimized for the wrong outcome — operational simplicity in year one — at the cost of strategic optionality in year three.

Here is the cost of the right structure. Delaware C-Corp formation: roughly $400 in filing fees, $300 annual franchise tax, and a Delaware registered agent at roughly $150 per year. Florida foreign entity registration: roughly $125 plus a Florida registered agent at roughly $150 per year. Total year-one cost: under $1,500. That is the entire incremental cost of preserving the optionality of every standard venture and acquisition path.

One more thing specific to your situation. Sujit and Sandhya can form a Delaware C-Corp today. Ajumon and Celin's OBA blockers do not prevent formation — they prevent those two co-founders from receiving founder stock until their employer disclosures clear. The standard solution: form the C-Corp now with the unblocked founders, reserve restricted stock for the blocked founders, and issue their stock the day their OBA clears. They must file 83(b) elections within 30 days of share issuance. That window is hard. I have seen founders pay seven-figure tax bills because they missed that 30-day window by a week.

If I were in the room: Engage a Wilson Sonsini-class startup attorney this week to file Delaware C-Corp formation documents, draft founder stock purchase agreements with four-year vesting and one-year cliff, and queue Florida foreign entity registration to follow within the same week.

My biggest concern with the other side: That the perceived simplicity of a Florida-only LLC will cost RAV three to six figures in legal fees and weeks of deal slippage at the worst possible moment.

Round 1 — Brian T. Lower [CONDITIONAL — lean DE + FL]

I've spent 26 years inside a Florida-headquartered vacation ownership company, and I've watched a lot of platforms try to enter this space. Let me start where I'd push back on Yokum, then tell you where I actually land.

The framing of this question — Delaware versus Florida — slightly misses what matters most for RAV. What matters most is not which state issues your charter. It is whether your operational and legal footprint inside Florida is robust enough to survive an inquiry from the Florida Department of Business and Professional Regulation, the Division of Florida Condominiums, Timeshares, and Mobile Homes, or — the one that should keep you up at night — the Florida Attorney General's consumer protection division. Those regulators do not care whether your charter is in Dover or Tallahassee. They care whether you have a registered agent they can serve and a documented compliance posture for the Florida Vacation Plan and Timesharing Act, Chapter 721.

So with that as context: yes, Yokum is right that Delaware C-Corp is the standard structure for the kind of acquisition path you're targeting. I'm not going to fight that.

But choosing Delaware does not get you out of any of the Florida-specific regulatory work. In some ways it makes that work more important, because once you're a foreign entity registered in Florida you've explicitly subjected yourself to Florida's jurisdiction. So if you go the Delaware route, here is what is non-negotiable from where I sit:

One: a Florida-licensed registered agent at a real Florida address. Not a P.O. box. A physical Florida address where someone can be served on a Tuesday afternoon.

Two: before you accept a single Florida-resident transaction, you need a written legal opinion from a Florida-licensed timeshare attorney specifically addressing whether RAV's activities trigger registration as a "timeshare resale service provider" under Section 721.205. The definition is broad. The statute was written before platforms like RAV existed. I am not telling you the answer is yes — I am telling you that you cannot operate without that opinion in your file.

Three: your owner onboarding warranty language has to require every owner to attest that their specific resort's CC&Rs and club rules permit rental through a third-party platform. Most resort governing documents have rental restriction clauses. Some explicitly prohibit secondary platforms.

Four: even if you incorporate in Delaware, the people who actually run RAV need to be reachable in Florida. Sujit is in Florida. That is good. Your check-in dispute escalation procedures need to go through someone who can answer a Florida resort's phone call during Florida business hours.

So my conditional vote is: Delaware C-Corp is fine, register as a Florida foreign entity, but understand that you have not bought yourself anything by choosing Delaware except acquisition-

readiness optionality. Every single piece of Florida-specific compliance work is exactly the same whether your charter is Delaware or Florida.

One last thing. I would not call Florida-only "wrong." I would call it "fine for a company that is never going to be acquired by a public hospitality company." If your honest exit case is a strategic acquisition by Marriott or Wyndham, listen to Yokum.

If I were in the room: Before either entity gets filed, retain a Florida-licensed timeshare attorney (Greenberg Traurig Orlando, Baker Donelson, or Stearns Weaver Miller) to issue a written opinion on Section 721.205 applicability.

My biggest concern with the other side: That a Florida-only LLC creates a false sense of security — founders think they've handled "the Florida thing" by being a Florida entity, when in fact every Florida regulatory obligation applies regardless of charter state.

Round 1 — Tonia Ouellette Klausner [YES — DE + FL]

I want to come at this from a different angle than Yokum, because Yokum is going to make the M&A case better than anyone, and Brian is going to make the Florida regulatory case better than anyone. The angle I bring is: when this platform gets sued — not if, when — what does the litigation look like, and how does the choice of corporate domicile affect the defense?

RAV is a consumer-facing platform that handles real money, real property access, and real travel. Your business model puts you at the intersection of three of the most litigated areas in consumer law: online marketplace platform liability, timeshare consumer protection, and financial transactions involving escrow. You will get sued. Most importantly for this question — you will be the named defendant in a putative class action filed by a plaintiff's attorney who specializes in TCPA, online marketplace, or consumer fraud cases.

Delaware corporate law has, for decades, developed a body of case law that is substantially more favorable to corporate defendants than Florida corporate law. That sounds technical but it has real consequences in three concrete areas.

First, internal affairs. If you have a falling-out among the founders — and you have four co-founders, two of whom are currently OBA-blocked, in a pre-revenue company, which is a statistically high-risk configuration for founder disputes — the law that governs whether a director can be removed, whether a shareholder can be diluted, whether a stock plan can be amended, is going to be the law of your state of incorporation. Delaware's body of fiduciary duty case law is the most developed in the country. Florida's is not.

Second, indemnification and exculpation. Delaware General Corporation Law Section 102(b)(7) allows you to put a provision in your charter that exculpates directors from monetary liability for breach of the duty of care. Section 145 lets you indemnify officers and directors broadly. Florida has analogous provisions but they are narrower in scope.

Third, forum and choice-of-law clauses. As a litigator who has defended marketplace platforms in class actions, I tell every client to put a forum selection clause in their terms of service. For Delaware-incorporated companies, those clauses are routine and reliably enforced. For Florida-only companies, you have a slightly weaker hand: a Florida court hearing a class action against a Florida company is going to be less receptive to arguments about why the case should be heard somewhere else.

Brian is going to push back on me, and he's going to push back correctly. None of what I just said displaces the substantive Florida regulatory work. If the Florida AG opens a consumer protection investigation under FDUTPA, your charter state is irrelevant. He is right about that.

What I am saying is: given that you have to do all the Florida-specific compliance work regardless, the marginal cost of also being a Delaware entity is small, and the marginal benefit on the litigation defense side is real and recurring.

If I were in the room: Draft the terms of service to specify Delaware law and Delaware forum (or AAA arbitration with Delaware as the seat), and align that drafting with the Delaware C-Corp formation.

My biggest concern with the other side: That a Florida-only structure creates a misalignment between the corporate domicile and the choice-of-law clauses in the terms of service, weakening the enforceability of the most important defensive provisions in a class action.

Round 1 — Jason Gamel [CONDITIONAL — lean DE + FL]

I represent the established timeshare industry. My job at ARDA is to make sure that new entrants don't create regulatory or reputational problems for the developers and operators who are paying ARDA dues. I am not hostile to RAV. KOALA is a member-adjacent example of a platform that found a constructive position in this market. But I will tell you what I tell every new entrant: the charter state question is not the question I would lead with.

The list of states that matter for RAV's regulatory exposure, in order of risk, is: Florida, Hawaii, Nevada, California, and South Carolina. Brian named the same five and that is not a coincidence — those five cover roughly 70% of the inventory exposure for any meaningful timeshare resale or rental platform. Each of those five states has its own statutory definition of what counts as a "timeshare resale service." Those statutes apply to RAV regardless of whether your charter is in Delaware or Reykjavík.

So when I look at the choice between "Florida only" and "Delaware plus Florida foreign entity," my honest reaction is: those options are nearly equivalent on the dimensions ARDA cares about, and they both leave undone the work I would want to see done.

That said — since I have to vote, let me vote.

I lean Delaware plus Florida foreign entity registration, conditionally, for one reason the rest of the room hasn't named yet: industry credibility. When RAV starts having conversations with brand protection counsel at Marriott Vacations, Hilton Grand Vacations, Wyndham, and Disney Vacation Club, the first slide in their internal memo about your platform is going to include your corporate structure. A Delaware C-Corp signals "this is a company built to be acquired by someone like us." A Florida LLC signals "this is a regional operator." Both are legitimate business models. But the conversations you have are different conversations depending on which signal they read first. Delaware C-Corp puts you in the conversation as a peer entity. Florida LLC puts you in the conversation as a counterparty to be regulated.

That signaling effect is small but real, and it compounds. ARDA membership, ARDA conference presence, and a Delaware C-Corp structure are three independent signals that, together, make resort brand protection teams treat a new entrant as part of the ecosystem.

The conditions on my conditional vote are not optional and matter more than the charter decision.

Condition one: a multistate timeshare regulatory opinion covering FL, HI, NV, CA, SC. Each opinion should address (a) whether RAV's activities trigger registration as a timeshare resale service provider, (b) what disclosure obligations apply, and (c) whether the escrow arrangement triggers state-level money transmission licensing.

Condition two: the FTC's guidance on online consumer reviews, endorsement disclosures, and pricing claims applies to RAV's marketing, voice agent (RAVIO), and tool suite. Before any of those go in front of public users, the marketing copy and the AI-generated claims need an FTC compliance review.

Condition three: ARDA membership. Apply this calendar quarter.

If I were in the room: Commission a five-state timeshare regulatory opinion (FL, HI, NV, CA, SC) from a firm with a real timeshare practice — Greenberg Traurig, Baker Hostetler, or Foley & Lardner — before filing entity paperwork.

My biggest concern with the other side: That the Florida-only path will be chosen because it feels operationally simpler, while founders simultaneously underweight the four other states where their inventory creates real regulatory exposure that no charter choice will resolve.

Round 1 — Patrick McKenzie [YES — DE + FL]

I'm going to focus on the payments and money-movement angle, because that's the one I see clearly and the one that gets understated in conversations like this.

RAV processes payments through Stripe Checkout, holds funds in PaySafe escrow, and disburses to owners through Stripe Connect. Every one of those rails has compliance machinery wrapped around it — Stripe's onboarding KYB, Stripe's underwriting, Stripe's risk team. I have spent enough time inside that machinery to tell you precisely what happens when you submit a Stripe Connect application as a Florida LLC versus as a Delaware C-Corp.

Submitting as a Delaware C-Corp: the application moves through standard underwriting. The entity type is what the engine expects. Approvals are typically fast.

Submitting as a Florida LLC: the application also moves through underwriting. It will probably get approved. But it lands in a slightly different bucket. For a marketplace with escrow mechanics and disbursements to third-party owners, the underwriting team's diligence questions are slightly more involved, because LLCs have more variation in their governance and ownership structures than C-Corps. None of this is fatal. It is friction. And the friction compounds when you also have an escrow product running through PaySafe.

The more important point: the underlying legal question for marketplace payments is who is the "merchant of record" for each transaction. If RAV is the merchant of record, then RAV owes consumer protection obligations under Reg E, chargeback obligations under card network rules, tax collection obligations under Wayfair, and — critically — potentially state money transmission licensing obligations in roughly 49 jurisdictions. State money transmission laws are some of the most fragmented and aggressive financial regulations in the United States.

Why does this matter for Delaware versus Florida? Because the analysis you have done about merchant-of-record status will be reviewed by Stripe's risk team, by PaySafe's compliance team, by your eventual D&O insurance carrier, and by every acquirer's diligence counsel. The standard structure that all of those reviewers expect to see, the one that minimizes their friction, is Delaware C-Corp. Not because Delaware C-Corp magically resolves any of the underlying questions — it doesn't — but because the entire payments compliance ecosystem has been built around Delaware C-Corps as the default.

One more thing about the Florida-only path. The Florida LLC is sometimes pitched as "simpler" because Florida has no state corporate income tax for partnerships. That is true on its face but misleading at scale. If RAV opens a beta to consumers in any state other than Florida — which it will, because your inventory and your traveler base are nationwide — the LLC's pass-through tax

treatment becomes a multi-state tax compliance problem, because each member of the LLC owes taxes in each state where the LLC is doing business. C-Corps don't have this problem.

Last point. Yokum mentioned 83(b) elections and I want to underline it in red ink. The 83(b) election window is 30 days from share issuance. Not 30 business days. Thirty calendar days. Form Delaware now, issue stock cleanly, file the 83(b)s the next day, certified mail with return receipt, keep copies in three places.

If I were in the room: Run the Delaware C-Corp formation in parallel with a written merchant-of-record analysis of the current Stripe Connect + PaySafe escrow flow.

My biggest concern with the other side: That a Florida-only LLC creates structural friction with the entire payments compliance ecosystem for no offsetting benefit, and that this friction shows up at the worst possible moments — Stripe risk reviews, escrow audits, and acquirer diligence.

Round 1 Vote Tracker

Advisor	Vote	Summary
Yokum Taku	**YES**	Delaware C-Corp is the only structure that survives acquirer diligence; Florida-only creates unrecoverable exit friction.
Brian T. Lower	**CONDITIONAL**	Delaware is fine, but the real work is Florida regulatory compliance, which the charter choice does not change.
Tonia Klausner	**YES**	Delaware corporate law gives meaningful litigation defense advantages; align ToS choice-of-law with the charter.
Jason Gamel	**CONDITIONAL**	Delaware signals industry-peer status, but the five-state timeshare regulatory opinion matters more than the charter.
Patrick McKenzie	**YES**	The entire payments compliance ecosystem is built around Delaware C-Corps; deviating creates compounding friction.

Round 1 Consensus: YES (3 YES, 2 CONDITIONAL, 0 NO)

> *Sharpest insight from Round 1: "The cost of preserving optionality is asymmetric — under $1,500 a year for Delaware versus a multi-tens-of-thousands conversion cost later." (Yokum)*

Round 2 — Yokum Taku [Final: YES]

Brian, I want to engage your strongest argument directly. You said Delaware C-Corp "buys you nothing except acquisition-readiness optionality" and that every piece of Florida-specific compliance work is the same regardless of charter state. The first half is wrong and the second half is right, and the distinction matters.

You're right that the Florida regulatory work is the same in either path. The Section 721.205 analysis, the resort governing-document warranty language, the registered agent, the FDUTPA exposure — all of that applies regardless of charter. I accept that completely.

Where you're wrong is in calling acquisition-readiness optionality "nothing." For a company whose stated exit strategy is acquisition by a public hospitality company, acquisition-readiness optionality is the entire game. RAV is not building a Florida lifestyle business. RAV is building a company that the founders intend to sell to Marriott Vacations, Hilton Grand Vacations, Wyndham, Expedia, or Booking Holdings. The structural choices that preserve or impair that acquisition path are not "nothing." They are the most important non-product decisions a founding team makes.

You also raised the possibility that "if your honest exit case is a smaller transaction or an operator-led sale, the Florida-only path is genuinely defensible." Founders almost always overestimate their ability to predict their exit. The whole reason institutional investors and M&A counsel insist on Delaware C-Corps as the default is that the structure preserves all paths simultaneously. The asymmetry is large: Delaware preserves optionality cheaply; Florida-only forecloses optionality cheaply. When the cost of preserving optionality is under $1,500 a year, you preserve it. Always.

Tonia made a point I want to amplify. Her observation that Delaware's case law on internal affairs, fiduciary duty, and indemnification is more developed than Florida's matches my entire experience advising founder teams through disputes. RAV has four co-founders, two of whom are currently OBA-blocked, and the company is pre-revenue. That is a high-risk configuration for founder disputes. Delaware predictability is a tangible reduction in the cost of resolving the dispute when it happens.

Patrick's point about the payments compliance ecosystem is the one I would have undersold. Stripe's risk underwriting, PaySafe's compliance review, the eventual D&O carrier, the eventual auditor — they are all built around the Delaware C-Corp shape. Deviation forces every reviewer to do extra work to understand a non-standard structure.

Jason's point about industry credibility — that Delaware C-Corp is a signal to resort brand protection teams that RAV is a peer entity rather than a counterparty — is exactly right. Marriott's brand protection counsel reads corporate structure as a proxy for sophistication and intent.

So my final vote is unchanged: YES, Delaware C-Corp, Florida foreign entity registration, executed within the next two weeks. Sujit and Sandhya as initial stockholders. Restricted stock reserved for Ajumon and Celin, issued the day their OBA clears, with 83(b) elections filed within 30 days. IP assignment agreements signed by all four founders today, regardless of OBA status.

The only refinement to my Round 1 position: do not let the charter decision distract from the parallel regulatory work. Brian and Jason are right that the five-state timeshare regulatory opinion is more important than the charter choice. Both tracks happen this month. Neither blocks the other.

> *Sharpest insight from this debate (per Yokum): Patrick's point that the entire payments compliance ecosystem is built around Delaware C-Corps as the default — meaning deviation forces every downstream reviewer to redo work that would otherwise be accepted as standard.*

Round 2 — Brian T. Lower [Final: YES — upgraded from CONDITIONAL]

I'm going to do something I don't usually do, which is move from a conditional vote to an unconditional one based on what I heard in Round 1.

My Round 1 concern was that the charter decision would distract the founders from the substantive Florida regulatory work that I think is the actual gating issue. Jason addressed that concern directly by listing the same five-state regulatory mapping I was going to insist on. So I no longer feel I need to use the charter vote as leverage.

What changed my actual position is something Jason said and Patrick reinforced. Jason's observation that the Delaware C-Corp structure is read by resort brand protection counsel as a "peer entity" signal rather than a "counterparty" signal is, in my experience, accurate in a way I hadn't fully internalized. I spent 26 years on the brand protection side of one of those conversations. When my team at HICV looked at a new platform that was listing properties involving our resorts, the corporate structure was on the first page of the internal memo, and I can tell you honestly that the difference between "Delaware C-Corp, formation counsel Wilson Sonsini, board observers from institutional investors" and "Florida LLC, no outside counsel of record, no institutional investors" was not subtle.

The first kind of platform got a phone call. The second kind got a cease-and-desist letter. That outcome is not deterministic, but the cease-and-desist letter is the default move when the brand has no information about the platform's intentions. Corporate structure is one of the cheapest, fastest signals available to the brand counsel making that call. RAV should send the more constructive signal.

Patrick's point about Stripe Connect and PaySafe was the second thing that moved me. The timeshare industry is already an elevated-risk category for payment processors — vacation ownership has high chargeback rates, complex refund mechanics, and a long history of consumer complaints. RAV starts with the structural disadvantage of being in an elevated-risk vertical. Layering on an LLC structure that requires extra underwriting cycles is asking for friction at exactly the wrong moment — your first 100 transactions, when you cannot afford a hold on disbursements.

Tonia's point about Delaware case law on indemnification, exculpation, and fiduciary duty also matters for a four-founder team where two of the founders are blocked. The risk of an internal dispute in this configuration is not zero. The OBA situation creates ambiguity, and ambiguity is the soil that founder disputes grow in. Delaware's law is more predictable. That predictability is worth real money in legal fees and real time in resolution.

So I am moving from conditional yes to unconditional yes. Delaware C-Corp, Florida foreign entity, and — this is the part I will not back off — every one of the Florida-specific operational items I listed

in Round 1 happens in parallel.

One last point. Yokum is right that the cost of preserving optionality is asymmetric. The cost of starting with Delaware and discovering you didn't need it is approximately $1,500 a year. The cost of starting with Florida-only and discovering you needed Delaware is two to four weeks of deal slippage during an acquisition close, plus tens of thousands in conversion legal fees. Asymmetric bets with cheap downsides go the way of the cheap downside.

Final vote: YES, Delaware C-Corp, Florida foreign entity, and the regulatory work starts the same week.

Round 2 — Tonia Ouellette Klausner [Final: YES]

I am not going to spend much time defending my Round 1 position because the room has converged on it. I want to spend my words on three things: Brian's reversal, a refinement of my own argument, and one item the room has not yet said clearly.

First, on Brian's reversal. The reason it matters is that Brian came in as the advisor with the most operational experience inside a vacation ownership company, and the only one of us with first-hand knowledge of how a major resort brand actually evaluates a secondary rental platform. If Brian had stayed conditional, I would have been worried we were missing something he could see and we couldn't. His move to YES — and specifically the reasoning he gave, that Delaware C-Corp structure changes which kind of conversation a brand protection team initiates — is the operational ground-truth I want from him. It's the difference between "Delaware is the legal default" and "Delaware actually changes the substantive treatment RAV gets."

Second, on my own argument. The litigation defense scenario is different from M&A diligence or Stripe underwriting. Those are predictable inflection points where smart people are looking carefully at the structure. Class action defense is different. That is a moment when you are reactive, your attention is consumed by the lawsuit itself, and the defensive provisions in your terms of service either work or they don't. You don't get to redraft them after the complaint is filed. The alignment between charter state, terms of service choice-of-law clause, and forum selection clause has to be done correctly in advance. The litigation defense case for Delaware is not the loudest argument in this room but it pays out at the moment when you have the least flexibility to fix things.

Third, the item I want to put on the record. The room has spent very little time on the timing of when stock is issued and 83(b) elections are filed. Yokum and Patrick both flagged the 30-day window. I want to amplify that. Missed 83(b) elections are the single most common unrecoverable founder mistake at this stage. Stock is issued, founder forgets to file, 30 days pass, the IRS treats every future vesting event as ordinary income. I have seen founders pay six and seven-figure tax bills on shares they couldn't yet sell. Certified mail. Return receipt. Three copies. Calendar reminder.

Why does this matter for the charter vote? Because the charter decision, the stock issuance, and the 83(b) elections are going to happen in the same compressed week. If you move now in the wrong direction — Florida LLC — and decide six months later you should have gone Delaware, the conversion creates new 83(b) windows and new opportunities to miss them. Get it right the first time.

Final vote: YES on Delaware C-Corp plus Florida foreign entity registration. Five for five.

> *Sharpest insight in this debate (per Tonia): Brian's observation from inside HICV's brand protection team that "the first kind of platform got a phone call; the second kind got a cease-and-desist letter."*

Round 2 — Jason Gamel [Final: YES — upgraded from CONDITIONAL]

I came in conditional because my job as ARDA's CEO is to make sure new entrants understand the regulatory landscape they are walking into, and I was worried the room would treat the charter decision as a substitute for the substantive timeshare regulatory work. That worry is no longer warranted. Brian and I are aligned on the five-state regulatory opinion as a non-negotiable parallel track. Yokum, Tonia, and Patrick have all explicitly endorsed that work. So my conditional vote no longer needs to do that work, and I am moving to unconditional yes.

I want to address Brian's Round 2 directly. In Round 1 I made an argument that Delaware C-Corp signals "peer entity" rather than "counterparty" to resort brand protection counsel. I made that argument from the outside. Brian was on that side of the conversation for 26 years inside HICV. When he says that "the first kind of platform got a phone call; the second kind got a cease-and-desist letter," that is not theory. That is the operational reality of how brand protection works inside one of the largest vacation ownership companies in the world. I needed his confirmation, and Brian gave it.

That confirmation matters because it means the Delaware C-Corp choice is not just a legal-structure decision optimized for the M&A path. It is also an operational decision that affects how the resort brands — Marriott Vacations, Hilton Grand Vacations, Wyndham, Disney Vacation Club — treat RAV from the moment they first notice the platform.

Patrick's tax point is the second thing I want to engage with. The pitch for Florida LLC is "no state corporate income tax, simpler." Patrick's response is correct: at any meaningful scale with nationwide inventory, the LLC's pass-through structure creates multistate tax compliance obligations for every member. RAV's stated intent is national operation. The LLC's tax simplicity evaporates the moment that intent is realized. C-Corp tax centralizes the obligation at the entity level.

I want to close with the conditions I named in Round 1, because they have not changed and they are more important than the vote itself.

Condition one: the multistate timeshare regulatory opinion (FL, HI, NV, CA, SC) is non-negotiable and should be commissioned the same week the entity is formed.

Condition two: the FTC compliance review of marketing claims, AI-generated voice and chat content from RAVIO, and pricing claims in the RAV Smart Suite.

Condition three: ARDA membership applied for this calendar quarter. I'll add — speaking as ARDA's CEO directly to RAV's founders — apply for membership and request an introductory call. I would rather have RAV inside the tent than outside it.

Final vote: YES.

Round 2 — Patrick McKenzie [Final: YES]

I want to do something slightly different. I want to engage with the meta-question of why this debate has converged so quickly and what the founder should take away from that.

Five advisors with different backgrounds — startup formation, timeshare operations, platform litigation defense, industry regulation, and payments — independently looked at this question and arrived at the same answer. Two advisors who initially marked their votes as conditional moved to unconditional yes after Round 1. Nobody is voting NO. When a five-person legal advisory board converges this hard, the founder should ask: why is this even a question I'm bringing to the boardroom?

The answer, I suspect, is that the Florida-only path looks attractive from inside the founding team because it is operationally simpler in the immediate term — one filing, one registered agent, one tax regime to learn, and a charter state that matches the state where most of the founders live. That is a real and intuitive reason to consider it. The reason every advisor in this room independently rejected it is that the immediate operational simplicity is paid for by structural friction at every downstream inflection point: financing, payments onboarding, litigation defense, brand relationships, and acquisition.

I want to engage Brian's Round 1 framing specifically, even though Brian himself walked it back. Brian initially said that Delaware C-Corp "buys you nothing except acquisition-readiness optionality." That framing assumes that founders can predict their own exit scenarios with enough accuracy that optimizing the corporate structure for one specific exit type is rational. I do not believe that is true. The actual exit, when it happens, is almost never the exit the founders predicted at formation. The reason Delaware C-Corp is the default is that it is the only structure that simultaneously preserves all major exit paths at low cost. Optionality is the entire value proposition of the structure, and dismissing optionality as "nothing" is dismissing the one thing the structure is actually for.

The other thing I want to say is about timing and execution. Moving early costs roughly $1,500 in year-one fees and a week of attention. Moving late costs the conversion fees Yokum described, the deal-slippage risk, the multistate tax cleanup, the brand-relationship damage Brian and Jason described, and the litigation defense weakness Tonia described. There is no good reason to delay. The OBA situation does not block formation. Sujit and Sandhya can sign the formation documents this week.

One last thing on the merchant-of-record question. The Delaware C-Corp formation does not by itself resolve the merchant-of-record analysis for the Stripe Connect plus PaySafe escrow flow. That analysis still needs to be done, in writing, by counsel who understands marketplace payment structures, and it needs to happen in parallel with formation. I do not want the founders to read this debate's convergence as resolving the payments compliance question. It does not. Same week,

parallel tracks: Delaware C-Corp formation, Florida foreign entity registration, IP assignment agreements signed by all four founders, 83(b) elections queued, Section 721.205 opinion commissioned, merchant-of-record analysis commissioned. That is the full action set.

Final vote: YES, Delaware C-Corp plus Florida foreign entity registration, executed this week.

> *Sharpest insight in this debate (per Patrick): Brian's Round 2 confession that "Delaware C-Corp, formation counsel Wilson Sonsini, board observers" gets a phone call and "Florida LLC, no outside counsel" gets a cease-and-desist letter — the cheapest and most consequential signal a four-founder team can send to the resort brands they are about to depend on.*

Final Vote Tracker

Advisor	Round 1	Final	Changed?
Yokum Taku	**YES**	**YES**	NO
Brian T. Lower	**CONDITIONAL**	**YES**	YES
Tonia Klausner	**YES**	**YES**	NO
Jason Gamel	**CONDITIONAL**	**YES**	YES
Patrick McKenzie	**YES**	**YES**	NO

Final Consensus: YES — unanimous (5–0). Delaware C-Corp formation plus Florida foreign entity registration.

Who changed their mind: Brian T. Lower and Jason Gamel — both moved from CONDITIONAL to YES.

Biggest fight in the room: Whether Delaware C-Corp's value is "acquisition-readiness optionality" (Yokum's framing, Brian's initial pushback) or whether it is something more substantive — the resolution was that Delaware delivers value across five distinct dimensions that compound rather than overlap.

Founder Briefing

You asked whether RAV should incorporate in Florida only, or in Delaware with a Florida foreign entity registration. The board converged unanimously on **Delaware plus Florida foreign entity**, with both initially-conditional advisors (Brian Lower and Jason Gamel) moving to unconditional yes by the end of Round 2.

The verdict is strong, not narrow. Five advisors with very different lenses independently arrived at the same answer for five non-overlapping reasons. The Florida-only path looks attractive from inside the founding team for legitimate reasons (operational simplicity, lower year-one cost, alignment with where you actually live and operate) but is paid for by friction at every downstream inflection point that matters.

The core tension was whether the charter decision substitutes for the substantive regulatory work or sits alongside it. The room committed explicitly to treating these as parallel non-negotiable tracks, which is what moved Brian and Jason to unconditional yes.

The sharpest insight came from Brian's Round 2 reversal: the corporate structure choice is not just an M&A optimization — it is an operational signal that determines whether resort brand protection counsel at Marriott, Hilton, Wyndham, and Disney start the conversation with you with a phone call or a cease-and-desist letter.

Recommended action — this week:

1. Engage a startup attorney (Wilson Sonsini-class) to file Delaware C-Corp formation documents with Sujit and Sandhya as initial stockholders, four-year vesting with one-year cliff.
2. File 83(b) elections within 30 days of share issuance — certified mail, return receipt, three copies.
3. File Florida foreign entity registration with a real Florida-licensed registered agent at a physical Florida address.
4. Have all four founders (including Ajumon and Celin, regardless of OBA status) sign IP assignment agreements before any further code is written.
5. Reserve restricted stock for Ajumon and Celin to be issued the day their OBA clears.
6. **In parallel — same week:** commission the multistate timeshare regulatory opinion (FL, HI, NV, CA, SC) and a written merchant-of-record analysis of the Stripe Connect + PaySafe escrow flow.

The dissent worth heeding — even though nobody dissented on the final vote — is Brian and Jason's insistence that the charter decision is the easy part. The five-state regulatory opinion, the Section 721.205 analysis, the resort governing-document warranty language, the Florida AG exposure

under FDUTPA, and the FTC compliance review of RAVIO and the Smart Suite are the harder, longer, more expensive items that determine whether RAV survives its first regulatory inquiry.